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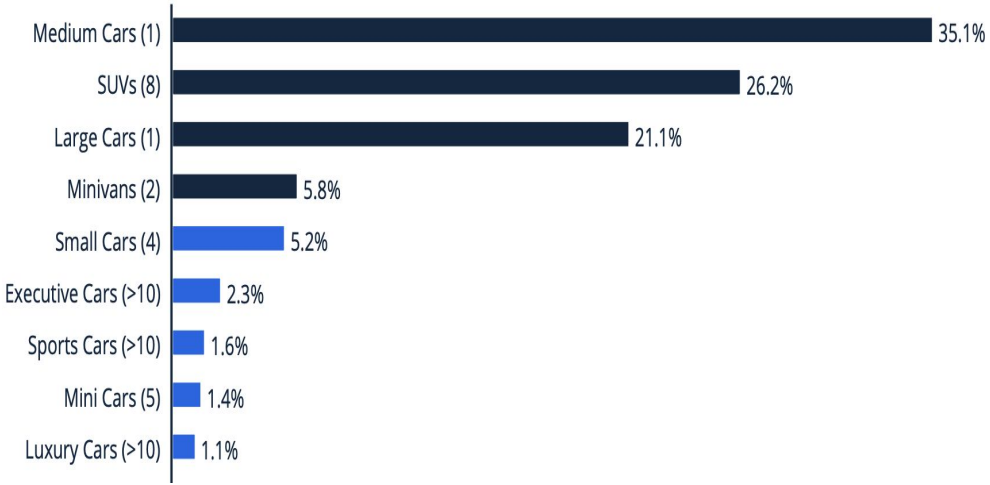
Financial analysis for the Volkswagen Group

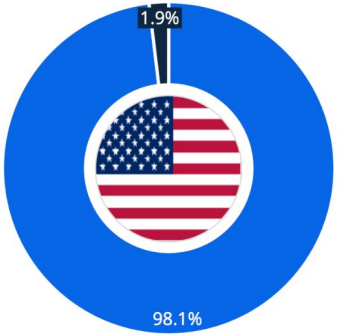
Das Auto.



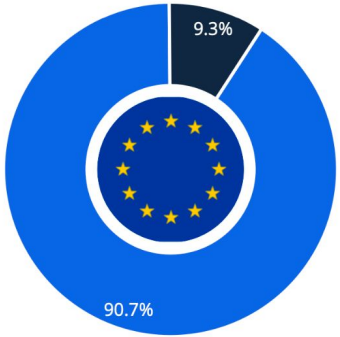
Founded: 1937
Headquarters: Wolfsburg, Germany
CEO: Herbert Diess
Employees: 678,825

Mini Cars	Up
Small Cars	Polo
Medium Cars	Beetle, Bora, C-Trek, Golf, Jetta, Lamando, Lavida
Large Cars	Arteon, Passat, Santana
Executive Cars	Phideon
Luxury Cars	Phaeton
Sports Cars	Eos, Scirocco, Xl1
Minivans	Golf-Sportsvan, Kombi, Routan, Sharan, Touran
SUVs	Crosspolo, T-Roc, Tharu

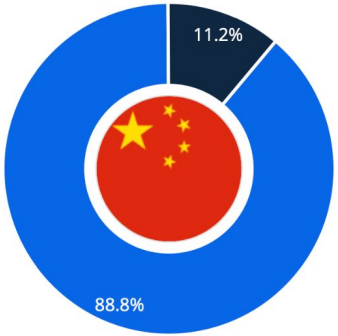




United States



Europe



China

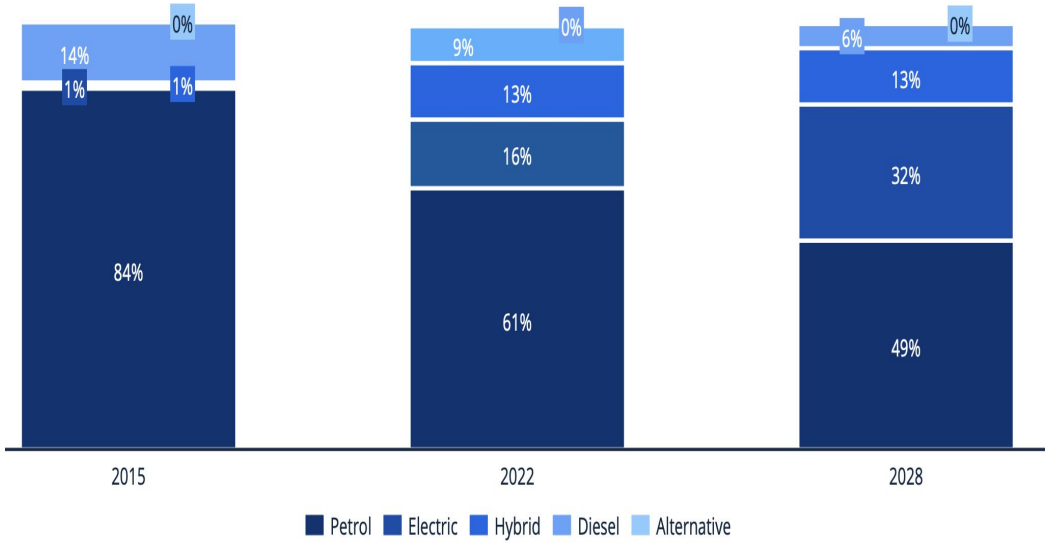
Strategy and contingencies

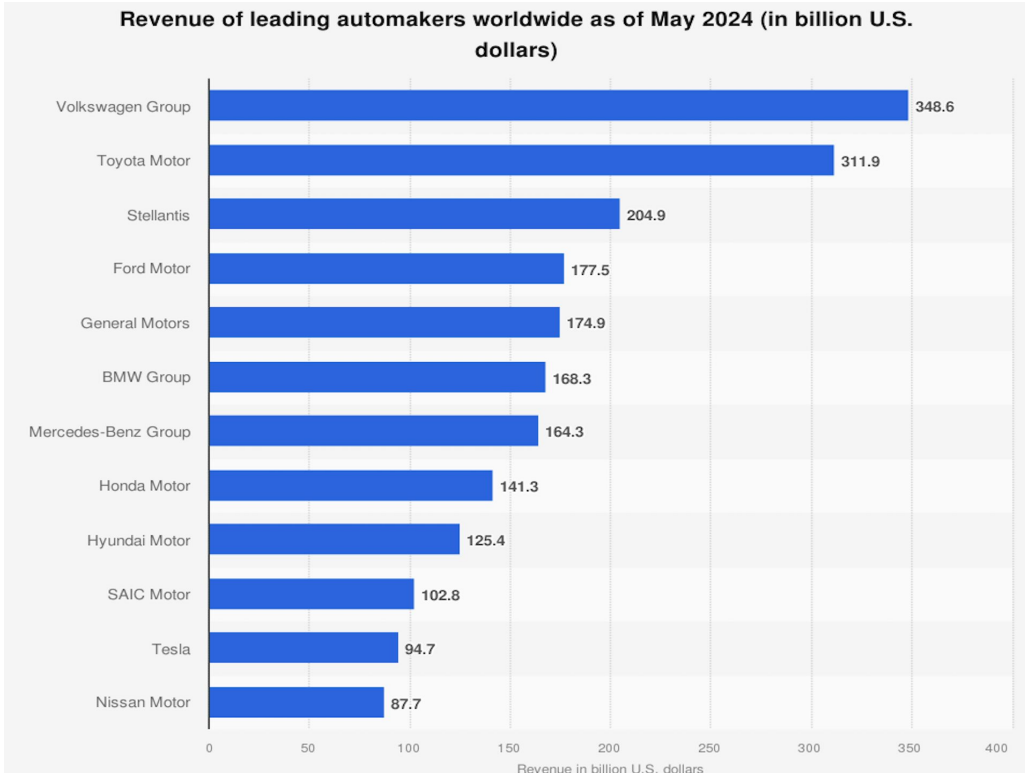
NEW AUTO – Mobility for generations to come

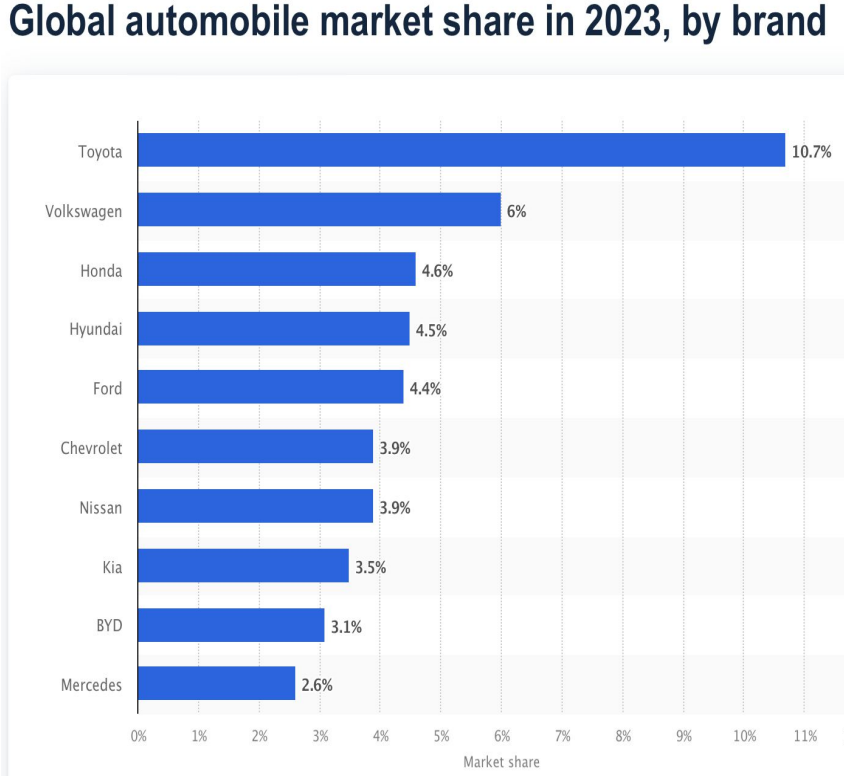
- e-mobility and digitalization
- Self-driving vehicles
- Global economic and geopolitical environment
- Sustainability

TOP 10 program

- Financial robustness and planning
- The China and North America regions
- Software
- Battery and charging infrastructure
- ESG, decarbonisation




Revenue of leading automakers worldwide as of May 2024 (in billion U.S. dollars)
Volkswagen Group 348.6
Toyota Motor 311.9
Stellantis 204.9
Ford Motor 177.5
General Motors 174.9
BMW Group 168.3
Mercedes-Benz Group 164.3
Honda Motor 141.3
Hyundai Motor 125.4
SAIC Motor 102.8
Tesla 94.7
Nissan Motor 87.7
0 50 100 150 200 250 300 350 400
Revenue in billion U.S. dollars


Global automobile market share in 2023, by brand
Toyota 10.7%
Volkswagen 6%
Honda 4.6%
Hyundai 4.5%
Ford 4.4%
Chevrolet 3.9%
Nissan 3.9%
Kia 3.5%
BYD 3.1%
Mercedes 2.6%
0% 1% 2% 3% 4% 5% 6% 7% 8% 9% 10% 11%
Market share

Balance sheet analysis

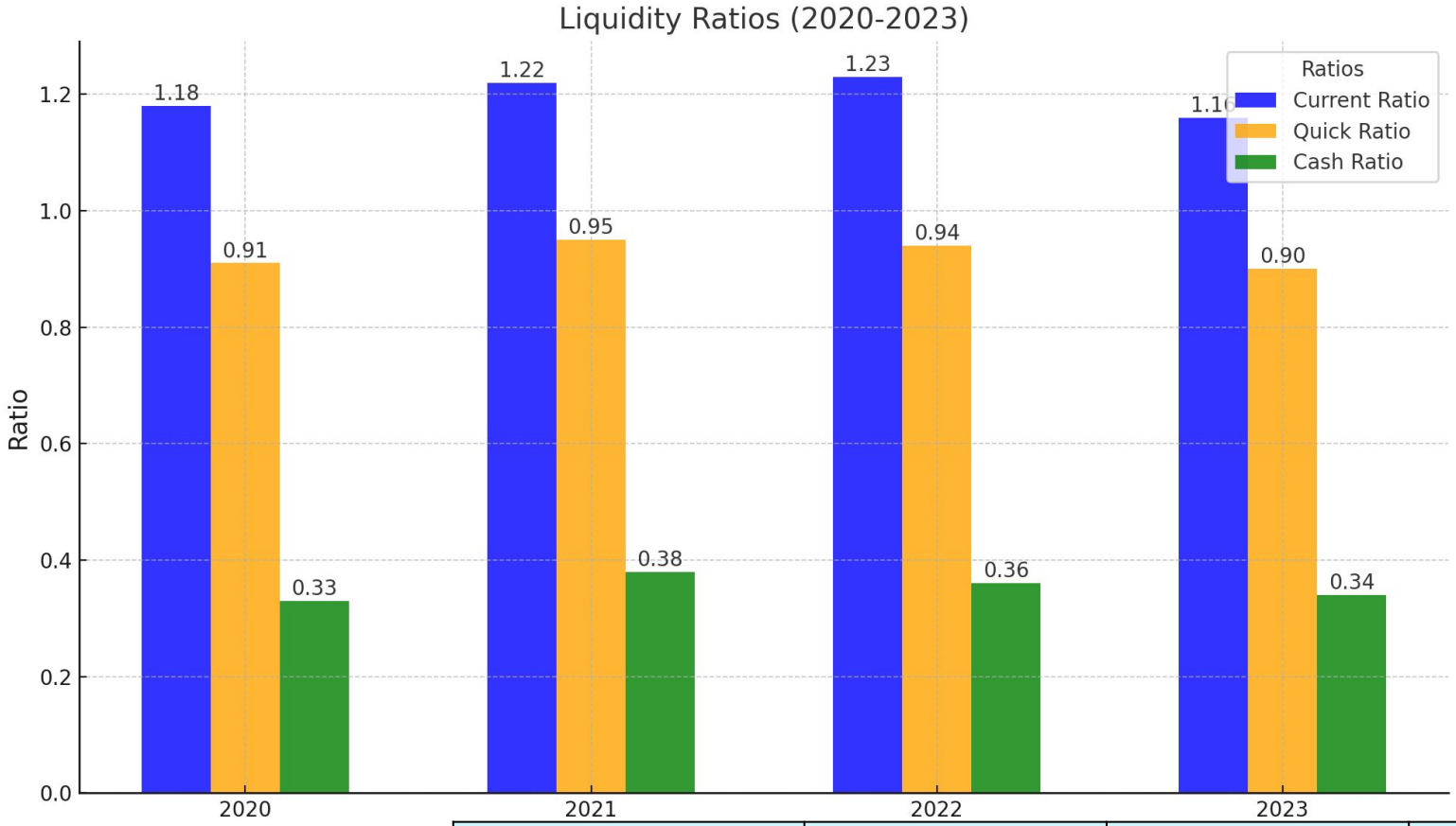
- Total assets have increased for 100,000 or 21% in a period of 4 years
- Current assets > +$44,699 million
- Current Liabilities > +$40,464 million or **24%** growth
- Non-current Liabilities did not increase that much

	2020	2021	2022	2023
Assets				
Noncurrent assets				
Property, plant and equipment	63,884	63,695	63,890	66,880
other	238,285	264,567	275,964	293,815
Total non current assets	**302,169**	**328,262**	**339,854**	**360,695**
Current assets				
Inventories	43,823	43,725	52,274	53,601
A/R	16,243	15,521	18,534	21,849
Cash and cash equivalents	33,909	39,723	29,172	43,449
other	100,969	101,379	124,181	120,744
Total current	194,944	200,348	224,161	239,643
TOTAL ASSETS	**497,113**	**528,610**	**564,015**	**600,338**
Liabilites				
Current Liabilites				
A/P	22,677	23,624	28,738	30,901
short- termd Debt	99,238	91,586	103,255	124,498
other current liabilites	43,496	49,183	50,731	50,476
Current Liabilites	165,411	164,393	182,724	205,875
Non-Current libiilites				
Long term debt	119,066	136,084	129,925	129,291
other	83,856	81,977	73,036	75,261
Total non-current liabilites	202,922	218,061	202,961	204,552
TOTAL LIABILITES	**368,333**	**382,454**	**385,685**	**410,427**
Equity				
Retained earnings	100,772	117,342	137,272	147,830
other equities	28,009	28,813	41,056	42,081
TOTAL EQUITY	**128,781**	**146,155**	**178,328**	**189,911**

Income statement analysis

	2019	2020	2021	2022	2023
Total Revenue	252,632	222,884	250,200	279,050	322,284
Cost of Revenue	203,490	183,937	202,959	226,866	261,262
Gross Profit	49,142	38,947	47,241	52,184	61,022
Operating Expense	43,635	41,710	42,697	49,308	53,598
Operating Income	11,453	12,438	14,731	19,234	15,152
Operating Result	16,960	9,675	19,275	22,110	22,576
Pretax Income (EBT)	18,356	11,667	20,126	22,070	23,194
Tax Provision	4,327	2,843	4,698	6,218	5,266
Net Income	14,029	8,824	15,428	15,852	17,928

P&L analysis	2019	2020	2021	2022	2023
Growth of Sales		-11.80%	12.30%	11.50%	15.50%
Margin%	19.50%	17.50%	18.90%	18.70%	18.90%
Growth of Opex		-4.40%	2.40%	15.50%	8.70%
Opex%	17.30%	18.70%	17.10%	17.70%	16.60%
ROS	5.60%	4.00%	6.20%	5.70%	5.60%

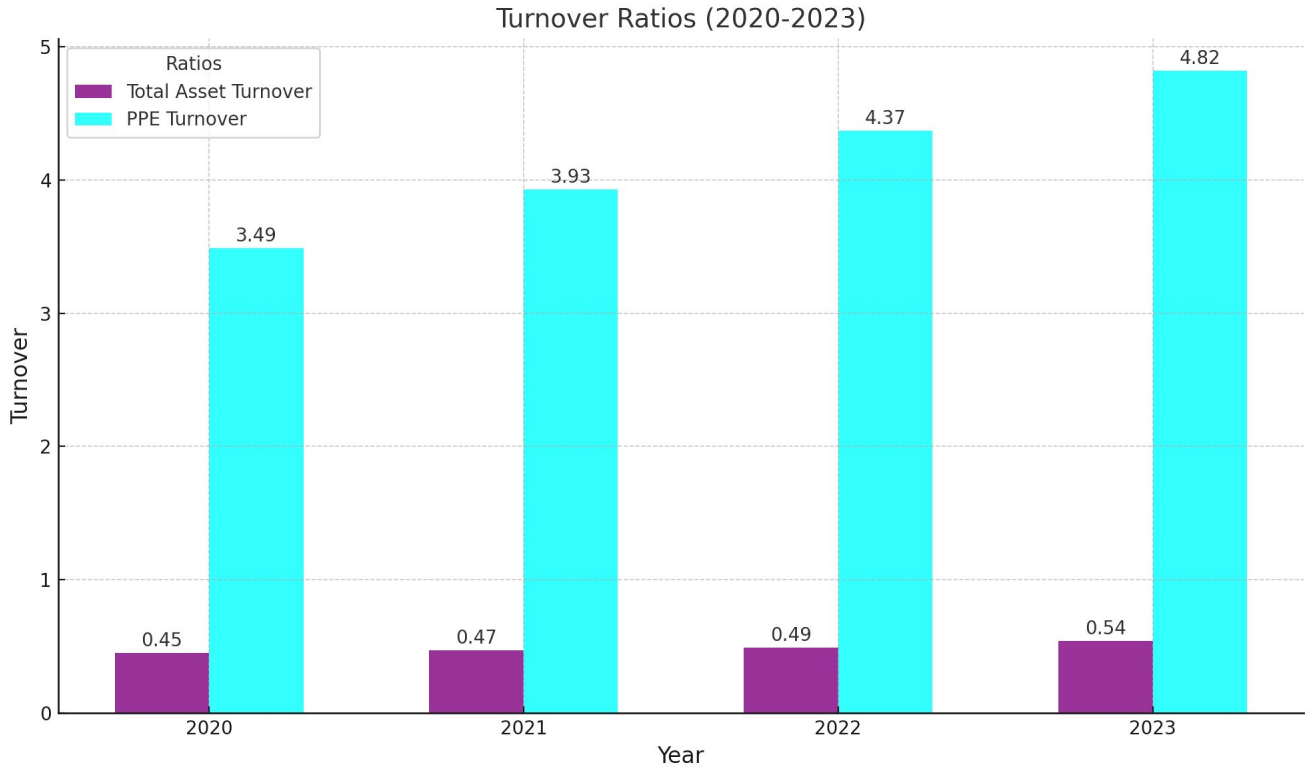


1,56 industry AVG

BMW: 1.1125
Toyota: 1.23
Tesla : 1.63

	2020	2021	2022	2023
Working Capital (€ million)	29,534	35,954	41,436	33,770

Efficiency


Turnover Ratios (2020-2023)
Ratios
Total Asset Turnover
PPE Turnover
Turnover
Year
0
1
2
3
4
5
2020
2021
2022
2023
0.45
3.49
0.47
3.93
0.49
4.37
0.54
4.82

Efficiency

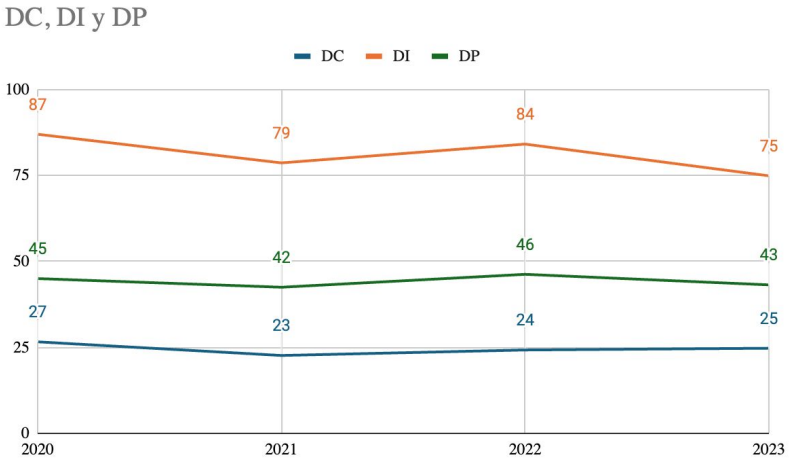
Comparison of average DP

60

44

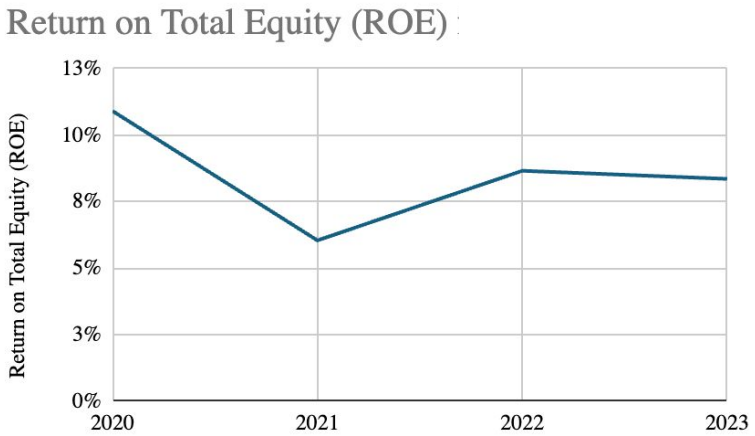
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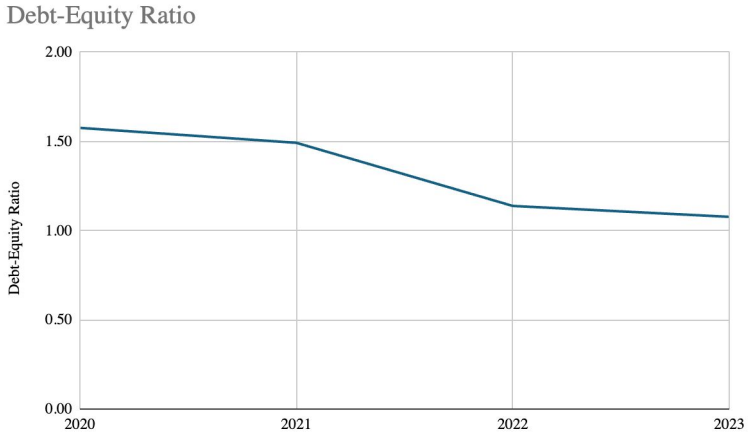
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Capital (Financial risk)

	2020	2021	2022	2023
Return on Total Equity (ROE)	11%	6%	9%	8%
Debt-Equity Ratio	1.58	1.49	1.14	1.08
Needs for financing of Operations	37,389	35,622	42,070	44,549





Income Statement Forecast

	2023	2024	2025	2026
Total Revenue	322,284	357,735	422,128	358,808
Cost of Revenue	261,262	289,766	339,391	306,781
Gross Profit	**61,022**	**67,970**	**82,737**	**52,027**
Operating Expense	53,598	62,604	73,028	69,609
Operating Income	15,152	19,543	22,476	14,765
Operating Result	**22,576**	**24,909**	**32,185**	**-2,817**
Interest	618	618	618	618
Pretax Income (EBT)	**23,194**	**25,527**	**32,803**	**-2,199**
Tax Provision	5,266	5,143	7,321	4,365
Net Income	**17,928**	**20,384**	**25,482**	**-6,564**

P&L analysis	2023	2024	2025	2026
Growth of Sales	15.50%	11%	18%	-15%
Margin%	18.90%	19%	19.60%	14.50%
Growth of Opex	8.70%	16.80%	16.70%	-4.70%
Opex%	16.60%	17.50%	17.30%	19.40%
ROS	5.60%	7.10%	7.80%	-0.60%

Balance Sheet Forecast

	2023	2024	2025	2026
DC	25	24	22	31
DI	75	77	76	92
DP	43	46	48	36
PPE turnover	4.82	4.97	5.23	3.13
Total assets turnover	0.54	0.57	0.64	0.56
Current Ratio	1.16	1.24	1.3	1.09
Quick Ratio	0.9	0.96	0.98	0.72
Cash Ratio	0.34	0.4	0.44	0.13

	2023	2024	2025	2026
Assets				
Noncurrent assets				
Property, plant and equipment	66,880	71,979	80,713	114,635
other	293,815	293,815	293,815	293,815
Total non current assets	**360,695**	**365,794**	**374,528**	**408,450**
Current assets				
Inventories	53,601	61,129	70,668	77,326
A/R	21,849	23,522	25,443	30,474
Cash and cash equivalents	43,449	57,761	69,424	0
other	120,744	120,744	120,744	120,744
Total current	**239,643**	**263,156**	**286,279**	**228,544**
TOTAL ASSETS	**600,338**	**628,950**	**660,807**	**636,994**
Liabilites				
Current Liabilites				
A/P	30,901	36,518	44,632	30,258
short- term Debt	124,498	124,498	124,498	128,014
other current liabilites	50,476	50,476	50,476	50,476
Total Current Liabilites	**205,875**	**211,492**	**219,606**	**208,748**
Non-Current libiilites				
Long term debt	129,291	129,291	129,291	129,291
other	75,261	78,533	78,533	78,533
Total non-current liabilites	**204,552**	**207,824**	**207,824**	**207,824**
TOTAL LIABILITES	**410,427**	**419,316**	**427,430**	**416,572**
Equity				
Retained earnings	147,830	167,552	191,296	183,460
other equities	42,081	42,081	42,081	36,962
TOTAL EQUITY	**189,911**	**209,633**	**233,377**	**220,422**
A-L-E	0	0	0	0

Diagnosis (2019–2023)

1. Revenue Growth Recovery
2. High and Growing Operating Expenses
3. Increasing Short-Term Debt
4. Improved Debt-to-Equity Ratio

	2019	2023	Change %
Total Revenue	252,632	322,284	27.6%
Cost of Revenue	203,490	261,262	28.4%
Operating Expense	43,635	53,598	22.8%
Net Income	14,029	17,928	27.8%
TOTAL ASSETS	497,114	600,338	20.8%
short- term Debt	99,238	124,498	25.5%
Debt-to-Equity	2.9	2.2	-24.4%
Current ratio	1.18	1.16	-1.7%

Suggestions

Improve Cost Efficiency

Lower Cost of Revenue

Invest in automation to reduce manufacturing expenses

Increase Liquidity Management

Reduce Short-Term Debt

Improve Working Capital

Monitor Liquidity and other Ratios

Keep **Current ratio** > 1.2, managing cash reserves and current liabilities

Bring **Debt-to-Equity** closer to 0.91 for debt reduction and equity growth

Invest in Growth and R&D

investing in **R&D for EVs** to capture market growth opportunities

Partnerships to improve operational efficiency


I CHECKED THE NUMBERS
THEY'RE RUFF
made on imgur